



Dear Investor:

As the worldwide COVID-19 pandemic continues to affect global activities across all industries, we wish to express our continued appreciation for your investment in the Project. We are writing to update you on The Source Hotel, LLC, the Developer and ground lessee of the Project.

Following extensive efforts to resolve outstanding issues between the parties, in December 2020, the Source Hotel, LLC's senior construction lender, Evertrust Bank, sold its note to a new lender, Shady Bird Lending, LLC. After acquiring Evertrust's rights in the construction loan, on February 2, 2021, Shady Bird recorded a notice of trustee's sale to foreclose on its leasehold rights, with the foreclosure sale scheduled for March 1, 2021. On February 17, 2021, the new senior lender also obtained a temporary order appointing a receiver, with a hearing on the application scheduled for March 18, 2021.

On February 26, 2021, The Source Hotel, LLC filed a voluntary petition under chapter 11 of the United States Bankruptcy Code in the United States Bankruptcy Court for the Central District of California, Santa Ana Division, thereby commencing a chapter 11 bankruptcy case bearing the case number 8:21-bk-10525-ES. As a result of the filing of the chapter 11 bankruptcy case, all proceedings against The Source Hotel, LLC, including the foreclosure sale and receivership proceedings mentioned above, are automatically stayed under the provisions of the Bankruptcy Code.

The end goal of the chapter 11 bankruptcy case is to seek approval of a plan of reorganization by The Source Hotel, LLC which reorganizes its business, resolves pending issues with its creditors, and allows the Project to proceed to completion. The Source Hotel, LLC is being represented in the bankruptcy case by the preeminent law firm of Levene, Neale, Bender, Yoo & Brill L.L.P.

We understand that you may have questions or wish to have further discussions about these matters. We welcome the opportunity to speak with you. In addition, you may also consult with an independent advisor or counsel. Please direct your communications to our Finance Manager Michelle Jung at operations@mdregionalcenter.com.